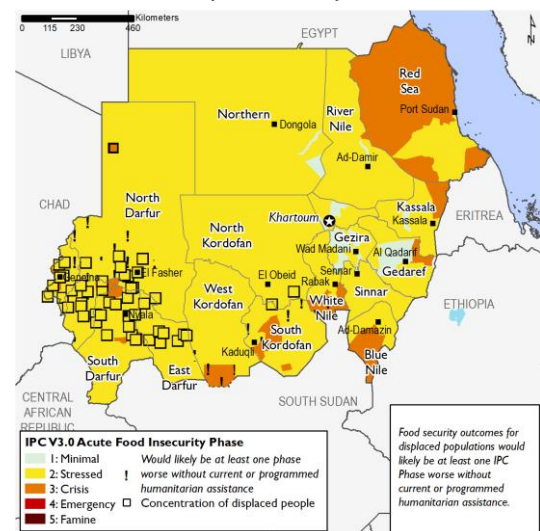


Macroeconomic crisis and inter-communal conflicts drive high assistance requirements
KEY MESSAGES

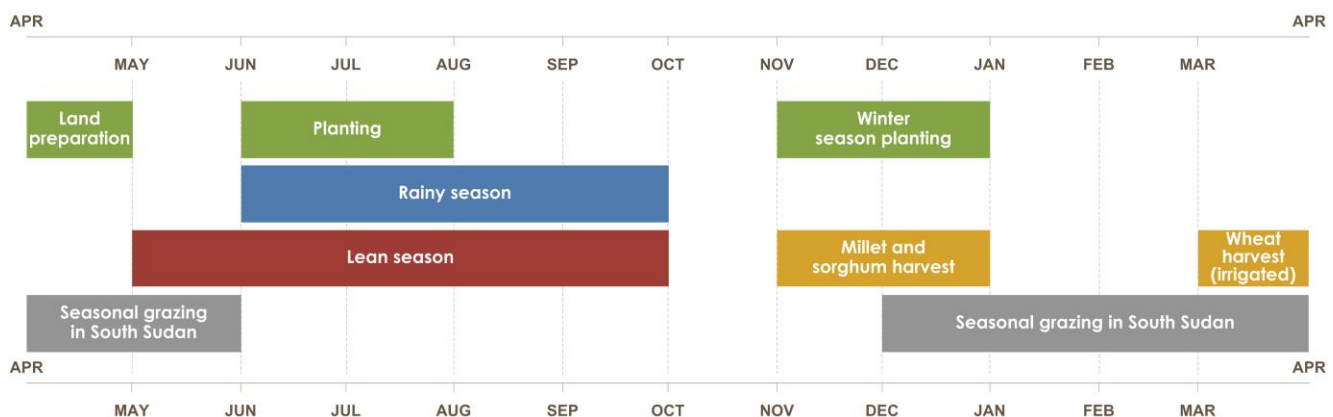
- The continued devaluation of the SDG, high inflation, and very high staple food prices have significantly limited household food access in the lean season, resulting in many people requiring emergency food assistance through September 2021. FEWS NET estimates food assistance needs are almost 50-60 percent above the five-year average. The worst-affected areas will be in Crisis (IPC Phase 3); however, in the absence of humanitarian food assistance, an increasing number of people will face Crisis (IPC Phase 3) or worse, including parts of Darfur, South Kordofan, Red Sea, and Kassala states and urban centers.
- Through June, staple food prices remain extremely high, driven by continued local currency devaluation and high inflation, resulting in high production and transportation costs. Food prices are likely to remain high through the next harvest (November-January). Despite some improvements in livestock prices and wage labor rates, household purchasing power remains well below average, negatively impacting household purchasing power.
- In June, all fuel subsidies were removed as the government works to liberalize the economy. This follows the partial lifting of subsidies in October 2020 on imported wheat, wheat flour, electricity, and LPT cooking gas. However, limited FOREX reserves continue to drive the Sudanese pound's devaluation and maintain the poor macroeconomic situation. The increase in fuel prices is driving high production costs and is expected to impact the planting rate in the mechanized agricultural sectors.

Current food security outcomes, June 2021



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

SEASONAL CALENDAR FOR A TYPICAL YEAR


Source: FEWS NET

NATIONAL OVERVIEW

Current Situation

Emergency food assistance needs in June 2021 remain above normal, driven by poor macroeconomic conditions, significantly above-average cereal and non-cereal food prices, and poor household purchasing power. Additionally, tribal clashes in parts of Darfur, Kordofan, and Red Sea states have displaced over 198,000 people since January 2021, increasing the number of households who have lost access to their livelihood assets and typical livelihood activities. The worst-affected areas of Sudan are in Crisis (IPC Phase 3), including parts of Jebel Marra and SPLM-N areas of South Kordofan, tribal-conflict affected areas of Darfur, and poor households in the Red Sea and Kassala states. High needs are likely to continue through September 2021, the peak of the lean season.

COVID-19 outbreak and control measures

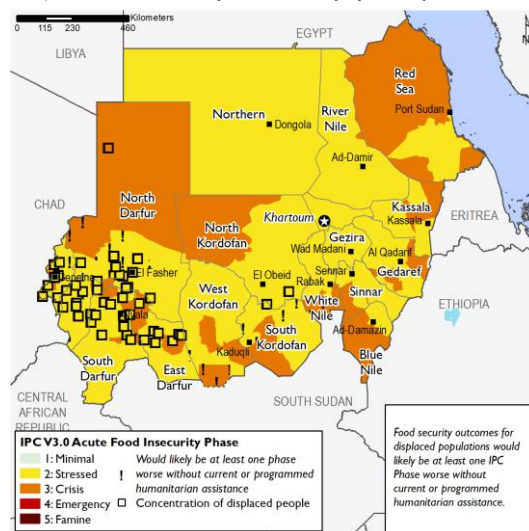
Sudan continues to face a growing COVID-19 outbreak. As of June 26, 2021, over 36,574 confirmed cases of COVID-19 have been recorded, with a seven-day rolling average of 32 new confirmed COVID-19 cases per day. Around 629,692 people have received at least one COVID-19 dose, around 1.4 percent of the population. Compliance with COVID-19 control measures and health recommendations continues to be weak across Sudan.

Macroeconomic difficulties

Sudan continues to face increased macroeconomic difficulties exacerbated by the rapid devaluation of the Sudanese pound and rising inflation. Despite the ongoing attempts by the transitional government to implement reforms addressing major macro-imbalances and stabilize the economy, Sudan continues to face increasing macroeconomic difficulties due to low reserves of foreign currency in the official banking system, rapid depreciation of the Sudanese pound (SDG), and a high inflation rate. Sudan's ability to access sufficient foreign exchange remains limited due to some structural factors and economic distortions, including corruption, a poor business environment, and weak competitiveness during the COVID-19 pandemic, which has continued compounding the country's challenges.

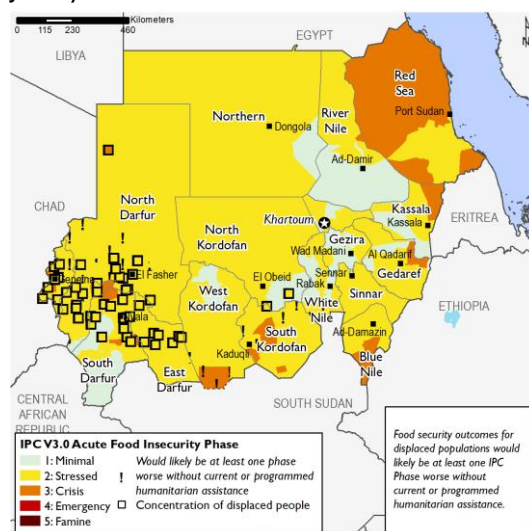
Elimination of large fuel and wheat flour subsidies and the liberalization of fuel prices have further increased transportation costs and the already high food and non-food item prices. On June 9, 2021, the government of Sudan lifted all fuel subsidies, completely liberalizing fuel prices, resulting in a 128 percent increase in diesel prices and a 93 percent increase in gasoline prices. This is the second significant increase in fuel prices following an initial 400 percent increase in October 2020 after the partial lifting of subsidies. Currently, fuel prices are 285 SDG per liter of diesel and 290 SDG per liter of gasoline. In June 2021, diesel and gasoline prices are 170 and 142 percent higher than October 2020 and around 936 and 1139 percent higher than prices in September 2020 before subsidies were lifted. The rise in fuel prices has led to a more than 85 percent increase in transportation tariffs in Khartoum and across the country. This has resulted in a steep increase in food and non-food prices compared to May 2021, as the price of cooking oil, sugar, and wheat flour has increased by 25-35 percent in one week. Most traders and producers have reduced the sale of their products, anticipating further price increases.

Projected food security outcomes, July to September 2021



Source: FEWS NET

Projected food security outcomes, October 2021 to January 2022



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

The Sudanese Pound (SDG) has continued to depreciate on the parallel market, and the inflation rate continues to rise. As part of the planned economic reform policy, the transitional government adopted a flexible managed exchange rate after devaluating the SDG in the official banking system from 55 SDG/USD to 375 SDG/USD in February 2021. The official SDG exchange rate was further devaluated from 395 SDG/USD in April to 421 SDG/USD in May 2021. The parallel market rate has remained greater than the official market rate through this period, registering 445 SDG/USD in May and up to 480 SDG/USD in June (Figure 1).

In May 2021, the national inflation rate increased by over 15.6 points, to 378.79 percent, driven by increases in communication, transportation, and food and beverage sectors, which increased by more than 300 percent in one month.

Conflict and peace process

The direct negotiation sessions between the Sudanese transitional government and the Sudan People's Liberation Movement-North (SPLM-N) failed to reach a final agreement on several issues discussed in the draft framework. The negotiations have been postponed as of mid-June 2021 for further consultations on the remaining contentious issues between the two parties.

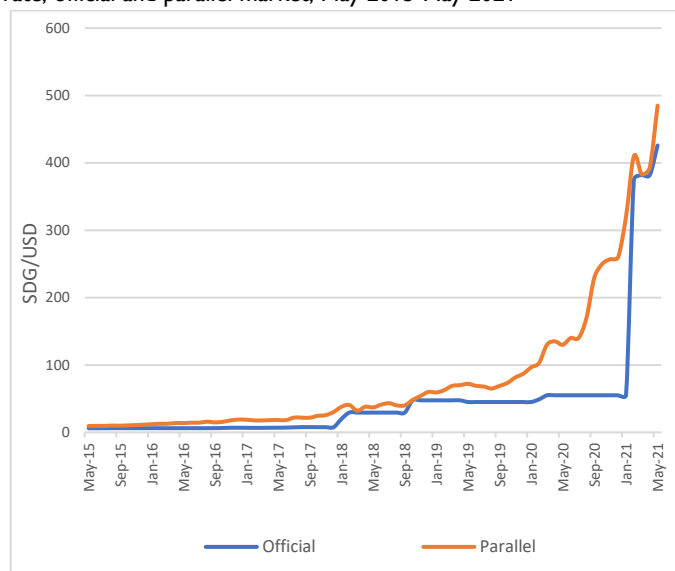
Sporadic violent inter-communal clashes have continued in different parts of Sudan. In early June, inter-communal clashes erupted between Falat and Taesha tribes in Mandoa and Um Dafoug areas in South Darfur, with livelihood assets being destroyed and the loss of lives. On June 12, 2021, inter-communal conflict erupted between Fur and Arab tribes in Tawa village Shamal Jabal Mara, Central Darfur state, displacing 2500-3000 households and two villages being burned down. On May 12, 2021, violent clashes erupted between factions of the Sudan Liberation Army (SLA/WA) in Fanga Suk, Shamal Jabal Marrah, Central Darfur over land accessibility. Around 1,596 individuals (266 households) were displaced and sought shelter in open areas of Rokero village, central Darfur. The increase in inter-communal conflict is likely driven by competition for natural resources and complex political situations.

2021/22 agricultural season progress

Preparations for the June to September 2021 agricultural rainy season have been constrained by fuel and labor shortages and extremely high fuel and input prices. As of June 25, cumulative rainfall based on [CHIRPS satellite data](#) across southern Sudan has been average to above-average, with between 50-200 mm across southern areas of Sudan. Above-normal residual moisture, along with the good start to the rainy season, is driving significantly above-median vegetation greenness across most of Sudan, as measured by the Normalized Difference Vegetation Index (NDVI) (Figure 2). However, there are localized areas of below-average vegetation greenness in South Darfur and East Darfur.

Land preparation continues in the rain-fed sectors in eastern and western Sudan, while cereal planting is underway in the traditional rain-fed sectors in southern and south-west Sudan. According to the Federal Ministry of Agriculture, the total targeted areas for both staple food and cash crops for the ongoing 2021/22 agricultural season is estimated at 68,420,000 feddan (28,747,899 hectares), approximately 9 percent higher than targeted areas last year. The area targeted for the main staples, sorghum, and millet, is 52 percent of the targeted area. Although land preparation is taking place across most of Sudan, farmers in the semi-mechanized rain-fed and irrigated sectors are raising increasing concern about delayed land preparations due to the high cost and shortages of fuel, other agricultural inputs, and labor. In Al Jazira, irrigation water shortages are also being reported for irrigated schemes. However, the recent decision by the transitional government to lift all fuel subsidies and liberalize fuel prices in mid-June coinciding with the start of the agricultural season and the high need for fuel is likely to impact planting. Reports from South Kordofan, Blue Nile, Jazira, and most of the irrigated schemes, indicate that lower than normal planting has been recorded as of mid-June. Dry sowing of millet has been reported in some parts of the traditional rain-fed areas in greater Darfur and Kordofan states as the rainy season begins. Planting is yet to start in most of the irrigated and semi-mechanized sectors and will likely begin in early to mid-July.

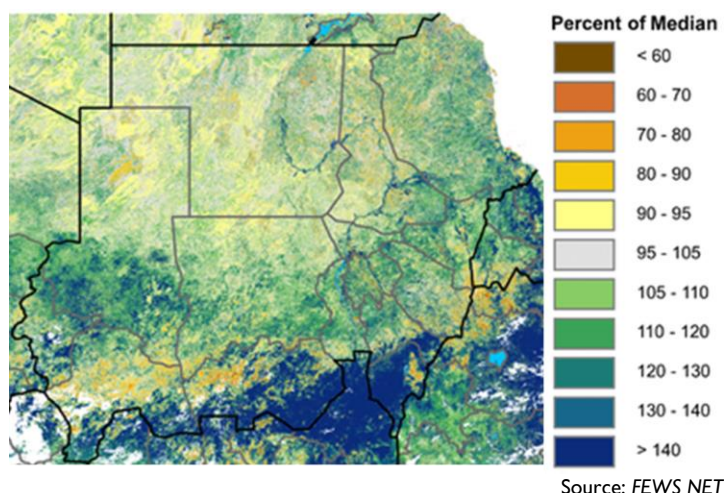
Figure 1. Sudanese Pound (SDG) to U.S. Dollar (USD) exchange rate, official and parallel market, May 2015-May 2021



Source: FEWS NET

The planting of the main cash crops, such as sesame and groundnuts in the rain-fed sector, and cotton in the irrigated sector, is expected to start in mid-June. Approximately 20 million feddan (8.5 million hectares) are targeted for planting by the end of June. The planting of sesame and groundnuts is ongoing in the rain-fed areas of North Kordofan, West Kordofan, and East Darfur states from late June to the beginning of July. Delays in planting are likely exasperated by high costs and shortages of inputs and labor and insufficient finance from the Agricultural Bank of Sudan (ABS). In June 2021, the cost of agricultural inputs increased approximately 275-490 percent compared to the same period last year. In South Kordofan, sorghum and millet seeds sold for 300-650 SDG/kg compared to 80-110 SDG/kg last year, while sesame and groundnut seeds sold for 550-750 SDG/kg compared to 110-280 SDG/kg for the same period last year.

Figure 2. Normalized Difference Vegetation Index (NDVI), percent of median, June 11-20, 2021.



As of June 21, 2021, according to the FAO, small groups of immature and mature adults, some laying eggs, are present in the Nile Valley, where ground control operations are underway. According to the [May 2021 Desert Locust Bulletin](#), a late instar hopper band was seen on the Red Sea coast near Toker, and immature and mature adults were present nearby. Scattered mature adults were also present near Abou Hamad and Dongola. Small-scale breeding is likely with the onset of the seasonal rains.

Rainfall in June has improved pasture regeneration in some of the grazing areas of greater Kordofan, Blue Nile, and Sennar states. Based on NDVI, vegetation conditions are above the median in parts of Central and West Darfur, Red Sea, and Kassala states, with localized areas of above and below median vegetation in North Kordofan (Figure 1). The [USGS Water Point Viewer](#) indicates good water conditions across most monitoring points in Sudan. As of mid-June, nomadic pastoralists have started their normal seasonal migration from the summer season grazing areas in the south to the wet season grazing areas in the north. The Range and Pasture Departments of the Ministry of Animal Resources are working on demarcation and reopening animal migration routes to facilitate animal movements and reduce conflict between farmers and pastoralists.

Prices and terms-of-trade

Retail prices of sorghum and millet continue to seasonally increase across most markets in June 2021, remaining on average double the price compared to June 2020 and over four times the five-year average. In Al Gadarif (the most important cereal production market in Sudan), sorghum sold for approximately 93 SDG/kg in June 2021, compared to 67 SDG/kg in June 2020. In El Fasher, one of the major consumption markets, sorghum sold for 100 SDG/kg in June 2021, compared to 84 SDG/kg in June 2020. Across Sudan, sorghum and millet prices are four to five times the five-year average for June. The extremely high sorghum and millet prices are driven by high inflation and the continued devaluation of the SDG, resulting in significant increases in production and transportation costs and above-average demand from shortages and the high cost of imported wheat and wheat flour. Informal cross-border flows of sorghum to South Sudan and Eritrea increased during the first quarter of 2021 as the devaluation of the SDG has resulted in a relatively competitive low price in Sudan compared to neighboring countries, while the easing of COVID-19-related border closures has increased export opportunities. From January to March 2021, informal cross-border exports of sorghum to South Sudan were 145 percent above the last quarter of 2020 (October to December), but 48 percent lower than the respective time last year and 63 percent lower than the five-year average.

Locally produced wheat retail prices continue to unseasonally increase between May and June 2021, remaining significantly above 2020 prices and the five-year average. Despite the above-average harvest in March-April 2021, the price of locally produced wheat increased 5-15 percent in most markets between May and June. Retail wheat prices in June 2021 are on average 168 SDG/kg compared to 69 SDG/kg in June 2020. June wheat prices remained on average 200 percent above respective 2020 prices and more than five times the five-year average. The high wheat prices are mainly attributed to high production and transportation costs, the shortage and high prices of imported wheat and wheat flour, high inflation, and devaluation of the SDG. Non-cereal food items also continued to increase over the last three months. In the Ad-Damazine market, sugar, wheat flour, and cooking oil increased 20-30 percent between March and May 2021.

The wholesale price of key cash crops increased by 10-20 percent between May and June 2021 across Sudan, remaining 200 to 300 percent higher than in June 2020. In El Obied market, the main groundnut market, one *guntar* (approximately 45 kg) of unshelled groundnut is selling for 13,000 SDG in June 2021 compared to 11,000 SDG in May and 2,920 SDG in June 2020, an 18 and 345 percent increase, respectively, and 870 percent above the five-year average. In the Al Gadarif market, one *guntar* of sesame sells at 21,550 SDG in June 2021 compared to 6,300 SDG in June 2020, almost 242 percent greater than last year and 720 percent greater than the five-year average. The high prices of groundnut and sesame are driven by the extremely high production and transportation costs, the devaluation of the SDG, and the high price of cooking oil.

Livestock prices have continued to increase across most markets. Goat and sheep prices increased on average 15 percent across most markets between May and June 2021, driven by increased demand for exports, particularly to Saudi Arabia, significant increases in transportation cost, and the continued devaluation of the SDG. In June 2021, goat and sheep prices are approximately 200 percent above last year's prices and five to six times the five-year average. Cattle prices increased 16 percent between May and June and are on average 200 percent above June 2020 prices and approximately 500 percent above the five-year average.

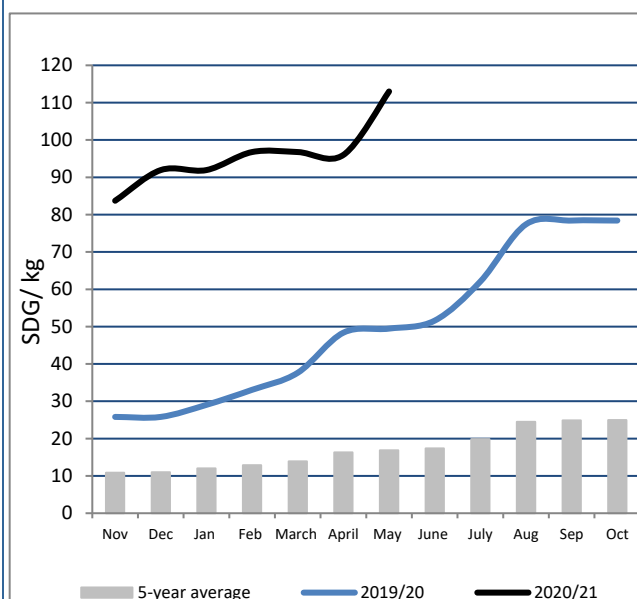
Agricultural labor opportunities and wages have increased with the start of the 2021/22 agricultural season. Demand for agricultural labor increased in May and June with the start of the agricultural season and below-average labor migration from Ethiopia due to border tensions and COVID-19 containment measures. Labor wages have increased between 30 and 45 percent between March and June 2021, remaining 300-400 percent above June 2020 wages. Moreover, labor opportunities have improved in the irrigated and rainfed sectors with the start of land preparation, with increased dependency on local labor due to labor shortages and relatively high costs.

The goat-to-sorghum and labor-to-sorghum terms-of-trade continued improving in most markets over the last three months as increased goat prices and labor wages outpace increases in sorghum prices. In the Zalengi market, one head of goat traded for 157 kg of sorghum compared to 139 kg sorghum/goat in May 2021. This is approximately 68 percent higher than in June 2020 and 25 percent higher than the five-year average (Figure 4). Labor-to-sorghum term-of-trade was approximately 20-30 percent higher than in June 2020 and 185 percent higher than the five-year average. The improved goat-to-sorghum terms-of-trade are providing short-term benefits to households with livestock to sell, particularly medium and better-off households.

Humanitarian assistance

WFP and implementing partners provided approximately 5.9 million beneficiaries with 131,449 MT of in-kind assistance and 21.9 million USD in cash, approximately 66 percent of the planned quantity and 71 percent of the planned cash equivalent value for distribution. Most of the beneficiaries were IDPs and conflict-affected people in Greater Darfur, government-controlled areas of South Kordofan and Blue Nile, refugees from South Sudan, flood-affected households, and chronically food-insecure areas of eastern and western Sudan. WFP plans to distribute 282,974 MT and USD 37 million USD in cash to 3.7 million beneficiaries between June and December 2021. Although no regular humanitarian access to SPLM-N-controlled areas of South Kordofan and parts of Jebel Mara and Blue Nile is assumed for this scenario period, the recently signed peace agreement and the ongoing peace talks and efforts by the government and SPLM-N El Hilu could lead to increased access and assistance in these areas. According to WFP food distribution figures for May 2021, around 28,500 people in SPLM-N areas received HFA. WFP plans to provide HFA to 85,689 people in SPLM-N areas through December 2021.

Figure 3. Sorghum Feterita: Nominal retail prices (SDG/kg), El Obied market, North Kordofan



Source: FEWS NET

Government and partners Family support program

In March 2021, the World Bank and the Sudanese government officially signed an agreement to confirm additional financial support (420 million USD) for the second phase of Sudan's Family Support Program (*Samarat*). Financial support for the program now totals 820 million USD. Last year, the program was launched to reduce the impact of the economic reforms on low-income families by providing financial aid and improving social protection systems and safety nets. The first phase of the program was officially launched on February 2021, targeting approximately 11 million people. As of June 2021, around 700,000 families are reported to have received support from the program, with most located in Khartoum.

Current food security outcomes

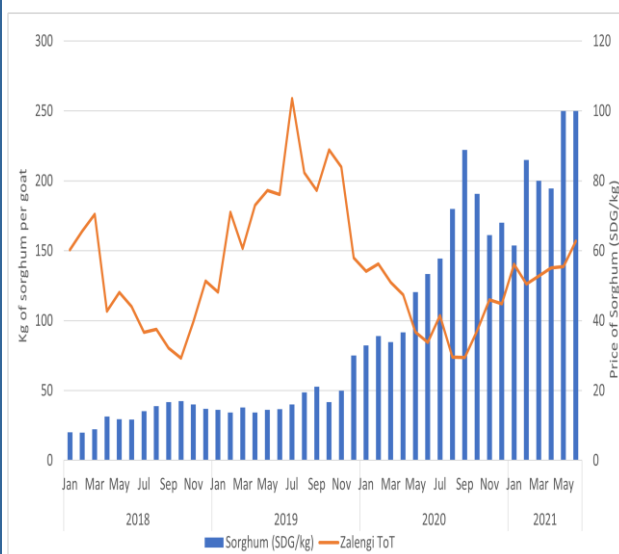
Acute food insecurity continues to worsen in Sudan with the start of the lean season in May-June and the increased macroeconomic difficulties limiting household purchasing power. Poor households in the agropastoral areas of Sudan face earlier than typical depletion of their food stocks due to a high dependency on their production. The high market prices are limiting the purchase of food and non-food needs. Due to the increased shortages and high prices of imported wheat and wheat flour, there is high demand for locally produced staple foods, increasing market prices, and negatively impacting household purchasing power. Poor households in pastoral and urban areas that rely more on market food purchases face increasing difficulty accessing sufficient income to purchase food. The very high food prices, the continued devaluation of the SDG, and increasing inflation significantly impact household purchasing power. Overall, an increasing number of people are expected to be in Crisis (IPC Phase 3) or worse acute food insecurity from June through September 2021 across Sudan. Among the populations most in need are long-term IDPs and conflict-affected people in the Darfur states, South Kordofan, and the Blue Nile, and urban poor groups and chronically food-insecure households in the Red Sea and Kassala states who typically face food consumption deficits during the lean season. Of greatest concern are SPLM-N areas of South Kordofan and Jebel Marra, where continued displacement, limited market and labor access, high staple food prices, and insufficient humanitarian access are leading to increased food insecurity among an already food insecure population.

Assumptions

The most likely scenario for June 2021 to January 2022 is based on the following national-level assumptions:

- COVID-19 cases are expected to increase through the projection period. Sudan is expected to continue vaccinating its population; however, vaccine access will determine vaccination rates. Compliance to COVID-19 control measures and health recommendations is likely to be low.
- Cumulative rainfall during the June to September 2021 rainy season in Sudan is likely to be above average. There is an increased likelihood of above-normal flooding in the Blue Nile river basin in the Blue Nile, Sinnar, Gedaref, and Gazira states. However, a normal flooding extent is expected in the downstream Nile (North of Khartoum). The above-average rainfall is likely to support agricultural production and rangeland resources.
- The Sudanese government's ongoing peace process with the Sudan Revolutionary Front (SRF) rebel alliance and the Sudanese People's Liberation Movement-North (SPLN-N) – Al Hilu faction is not expected to have any discernable effect on the conflict activity of armed opposition groups at the national level, which has significantly reduced in intensity since the signing of the Juba Agreement in October 2020. Isolated incidents of conflict between the SPLM-N Al Hilu and SPLM-N Agar factions will likely continue at current levels amid the peace process, over which the two groups within the SRF disagree, primarily affecting Blue Nile state.
- Intercommunal conflict incidents in Darfur have doubled from in 2021, compared to the first half of 2020. Sporadic attacks on villages will likely continue to escalate through the outlook period, from June-September 2021,

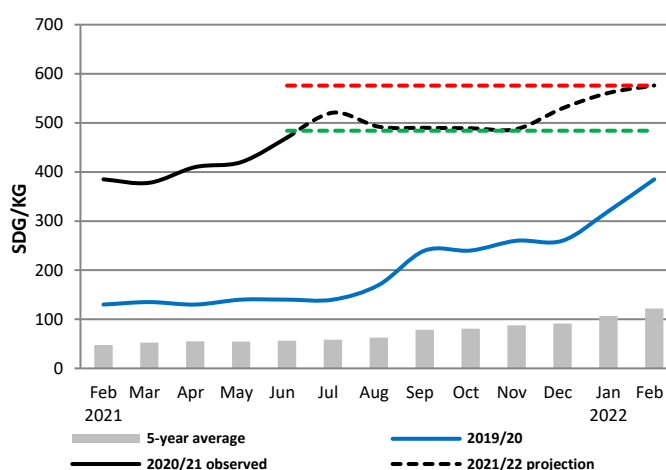
Figure 4. Goats-to-sorghum terms-of-trade (kg/head), Zalengi market



particularly in Darfur, with clashes likely reaching a plateau higher than that of 2020. The violence is likely to track with the seasonal movements of nomadic groups into southern grazing areas. At the start of the transhumance in September 2021, inter-communal clashes are expected to subside.

- Tensions over the border dispute between Sudan and Ethiopia and the filling of the Ethiopian Renaissance Dam (GERD) are likely to continue during the outlook period with increased military presence along the border. The border situation will remain tense while sporadic small-scale attacks between Sudanese forces and Ethiopian armed militiamen in eastern Sudan are likely to increase from July 2021, as the agricultural season begins and competition over the fertile land increases, and as Ethiopia is expected to complete the second phase of the filling of the GERD during the upcoming rainy season.
- Al Gadaref, Kassala, and Blue Nile states are expected to continue receiving Ethiopian refugees from Tigray through the scenario period. Up to 100,000 Ethiopian refugees are expected to arrive if instability in Ethiopia's Tigray region continues. The Tigray region's ongoing conflict is expected to increase tension and instability along the Sudan/Ethiopia border.
- The May 2021 Paris Conference provided 60 billion USD in committed loans and financial relief for Sudan, facilitating better access to funding from international financial institutions such as the World Bank and IMF. Nevertheless, Sudan is expected to continue facing macroeconomic difficulties associated with low foreign exchange reserves in the official banking system and some structural economic difficulties through the projection period.
- Following the managed floatation of the SDG in February 2021, the parallel and official market exchange rates have continued to increase. In June 2021, the parallel market traded at 470 SDG/USD compared to 420 SDG/USD in April, while the official exchange rate is 451 SDG/USD. Based on FEWS NET's integrated FOREX projections, the depreciation of the SDG in the parallel market is likely to be moderated by expected loans and debt relief. The availability of hard currency reserves will determine the gap between the managed and parallel exchange rates. The FOREX is anticipated to remain between 350-430 SDG/USD through January 2022 (Figure 5). The official forex rate is expected to be fully floated and will likely to result in further depreciation during the scenario period. This will further raise the costs of imports and increase inflation.

Figure 5. Integrated FEWS NET exchange rate projection (SDG/USD) on the parallel market



Source: FEWS NET

- Based on FEWS NET's integrated price projections, sorghum and millet retail prices are expected to continue seasonally increasing through the lean season (June-September). Prices are likely to be over 50-100 percent higher than last year and between 250 to 450 percent above the five-year average through the scenario period. Locally produced wheat prices are likely to remain more than double compared to respective prices in 2020 and more than 300-400 percent above the five-year average through the scenario period. Higher staple food prices amidst reduced household purchasing power will continue impacting the ability of poor households to purchase food from the market through the scenario period.
- Livestock prices are expected to follow seasonal trends but remain at relatively high prices compared to average. Livestock prices are likely to start seasonally decreasing with the start of the lean season as pastoralists sell additional livestock to fund staple food purchases and build household food stocks. During the harvest period (December 2021 to January 2022), prices are expected to increase seasonally by 5-10 percent in most markets due to seasonally reduced supplies and improved animal body conditions. Overall, livestock prices are expected to remain almost double compared to last year and 300-400 percent above the five-year average.

- Shortages and high fuel prices (diesel) are expected to persist across Sudan through 2021 due to the lifting of subsidies and liberalization of fuel prices, reduced imports, and expected high needs during cultivation (June–September). Fuel prices in remote areas of Darfur, South Kordofan, and Northern states will remain at over double the prices in central Sudan due to the high cost of transportation. Increased demand and exceptionally high fuel prices on the informal market are expected through the harvest period of December 2021 and January 2022.
- The shortages and significantly high fuel and agricultural input prices are expected to impact the progress, performance, and harvest of the 2021/2022 main agricultural season. Land preparation, the timely availability of sufficient inputs, and access to labor are likely to remain below normal. The anticipated significantly above average cost of production will result in below normal planting and increased pre-harvest losses. Farmers are likely to shift to early maturing crops, which require less labor and high-cost inputs.
- Agricultural labor opportunities and wages are expected to increase seasonally by 20–30 percent during the cultivation period between June and September, ranging from 1000–2000 SDG per day. Labor opportunities and wages will further increase with the start of the harvest period in October 2021 and remain around 2000–2500 SDG/day through January 2022. Labor wages are anticipated to be 100–200 percent above last year and 300–400 percent above the five-year average. Laborers are expected to demand higher wages than last year in response to the depreciation of the SDG and rising prices of goods and services. The labor-to-sorghum terms-of-trade are expected to be slightly above last year but 45–50 percent lower than the five-year average as sorghum prices are expected to remain over 400–500 percent above the five-year average.
- Income from agricultural labor, traditional mining, animal sales, and remittances by migrant family members are expected to be the main income source for most poor households in agropastoral and agricultural areas. Remittances by family members abroad are expected to be greater than 2020 but below pre-COVID levels as the economies of the Gulf states, Saudi Arabia, Europe, and the USA return to normal. Between October 2021 and January 2022, agricultural labor income is likely to represent a significant income source for poor households.
- Based on projected cereal and goat prices, goat-to-sorghum terms-of-trade are expected to continue seasonally declining and remain on average 18–22 percent lower than last year due to higher increases in sorghum prices relative to goat prices.
- WFP and implementing partners are expected to provide approximately 78,852 MT of emergency food assistance and 10 million USD in cash vouchers to over 2.6 million beneficiaries. Most of the targeted beneficiaries are IDPs and conflict-affected people in Greater Darfur, government-controlled areas of South Kordofan and the Blue Nile, refugees from South Sudan, chronically food-insecure areas of eastern and western Sudan, and Ethiopian and South Sudanese refugees.

Most Likely Food Security Outcomes

From June to September, the typical lean season in Sudan, households are expected to increasingly rely on markets to purchase staple foods at significantly higher than normal prices. Food stocks from own production are likely to be exhausted earlier than normal due to increased dependency driven by the high market prices. As the rainy season progresses between June and September, improvements in livestock productivity, agricultural labor opportunities, wage labor rates, and livestock prices will improve household food access. However, household purchasing power is expected to continue to be limited by high food and non-food prices and the continued devaluation of the Sudanese pound. The expected seasonal increase in staple food prices through the lean season is also expected to reduce household purchasing power further. As a result, IDPs and households chronically facing food consumption deficits during the lean season are expected to continue facing Crisis (IPC Phase 3) outcomes between June and September 2020, particularly in the pastoral and agropastoral zones across Sudan. In the absence of humanitarian assistance, Emergency (IPC Phase 4) outcome are likely among newly displaced people in Darfur affected by tribal clashes, IDPs, and conflict-affected households in isolated areas of Jebel Marra in Central Darfur and poor households in northern Red Sea state, particularly during the peak of the lean season in August and September.

Between October 2021 and January 2022, the pre-harvest and harvest period, food security outcomes are expected to improve relative to the lean season as agricultural and agropastoral households begin to access their harvest and receive in-kind payments from agricultural labor. Increased wages from agricultural labor, the sale of livestock and livestock products, and increased consumption of milk and wild food will also improve household food access. Nevertheless, the anticipated very high staple food prices and macroeconomic difficulties are expected to continue reducing household's ability to meet their basic food and non-food needs. Driven by the increase in food access from the harvest and increased income from agricultural

labor, Stressed (IPC Phase 2) outcomes are likely across most agricultural and agropastoral areas. However, most conflict-affected areas in greater Darfur and greater Kordofan, including parts of Jebel Marra and South Kordofan, southern Blue Nile, some pastoral and agropastoral areas of northern Kassala, and northern Red Sea states are expected to remain in Crisis (IPC Phase 3).

Area	Event	Impact on food security outcomes
National	Increased support from the international community, significant improvements in macroeconomic conditions.	Improved macroeconomic conditions will improve the availability and reduce prices of essential food and non-food items, improving household purchasing power. This will likely reduce the population facing Stressed (IPC Phase 2) and Crisis (IPC Phase 3) outcomes.
	Failure to reach a final peace agreement between the Sudanese transitional government and the Sudan People's Liberation Movement-North (SPLM-N).	Failure to reach a final agreement between the Sudanese transitional government and the Sudan People's Liberation Movement-North (SPLM-N) could increase hostility, reduce humanitarian access, and disrupt livelihood activities. Renewed conflict is likely to increase the number of people facing Crisis (IPC Phase 3) or worse outcomes.

AREAS OF CONCERN

Ag Geneina locality, West Darfur state (Figure 6)

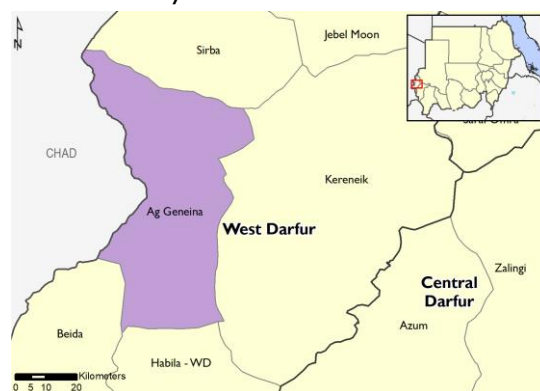
Current Situation

Ag Geneina locality is located in West Darfur state and includes Geneina town, the state capital. The dominant livelihood is the Western Agropastoral Millet (Zone 13) zone, where only drought-resistant millet is reliably produced. Households also grow watermelon, hibiscus, and okra in low-lying areas. Given limited agricultural productivity, livestock sales account for most of the better-off and middle groups' cash income, while poor household income mainly comes from labor and trade. The [Rainfed Sorghum Belt](#) (Zone 11) zone also makes up about a third of the area of concern. West Darfur has been prone to communal and ethnic conflicts that have escalated since 2003 from the longstanding Darfur conflict. There are over 335,000 protracted internally displaced persons (IDPs) in West Darfur state, with over 88,000 IDPs living in nine IDP camps within Geneina locality. In early 2021, violent armed clashes erupted multiple times between the main two tribes in Geneina town (Masalit and Arabs). Several armed groups attacked different parts of the town and nearby IDP camps, displacing an estimated 170,000 people. Following the initial wave of conflict, some of the displaced households returned home as the security situation stabilized. As of June 2021, around 107,500 IDPs (approximately 21,500 households) are seeking shelter in El Geneina town and its surrounding villages. Most of the remaining IDPs were displaced from Krinding 1 and 2 IDP camps, Hai Eljabal area, Sultan House area, and other nearby sites.

The tribal conflict has negatively impacted the January-February 2021 harvest season as a three-week road closure disrupted labor migration and access to fields during harvest. The closure of the main supply roads also impacted market and trade flows, and rural access to the main market in Geneina during the post-harvest period, resulting in reduced supplies and a 40-50 percent increase in staple food prices in two weeks. Additionally, the clashes resulted in the loss of lives and livelihood assets, including livestock and household stocks of harvested crops.

Prior to the recent tribal clashes and following the 2020/21 main season harvest during January to February 2021, household food access and food consumption were already poor. According to the December 2020-January 2021 WFP comprehensive

Figure 6. Area of concern reference map, Ag Geneina locality of West Darfur state



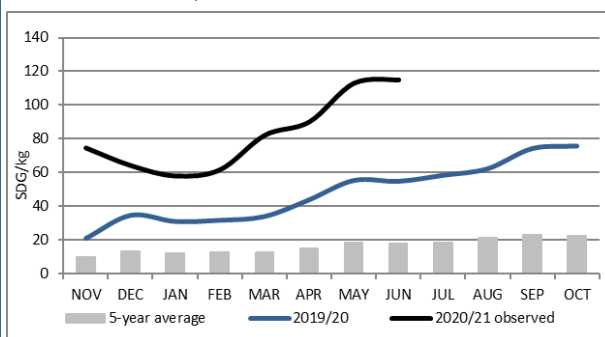
Source: FEWS NET

food security assessment (CFSA), the harvest was already negatively impacted by pest infestations following the flooding during the 2020/2021 agricultural season. Around 55 percent of farmers reported pest infestations as the main cause of damage to the harvest. Household food stocks following the harvest were low and expected to last for 1-2.5 months as producers had to sell their stocks to cover other food needs and repay credits. Typically, sorghum own production lasts for 3-4 months in West Darfur. According to the CFSA, approximately 74 percent of households had no food stocks and were completely market reliant, with more than 65 percent of households spending at least 75 percent of their income on food purchases.

The WFP food security monitoring system (FSMS), using data from November 2020 to February 2021, indicated that the proportion of food insecure IDPs from the Ardamata, El Riad, and Kirinding camps, based on WFP's consolidated approach for reporting indicators of food security (CARI), increased from 41 percent in the first quarter of 2020 to 51 percent in the first quarter of 2021, despite the presence of food assistance. Similarly, the prevalence of households reporting a poor FCS increased from 3 percent in the first quarter of 2020 to 9 percent in the first quarter of 2021. Around 98 percent of IDP households spent more than 65 percent of their expenditure on food after receiving humanitarian food assistance. Without HFA, around 58 percent of IDP households reported not being able to afford the local food basket. The WFP FSMS indicated that 38 percent of IDP households in the camps used consumption coping strategies, including minimizing meal sizes and relying on less preferred and less expensive foods such as HFA sorghum sold in local markets.

Although the main roads to Geneina were opened in May and June 2021, market trade flows remained highly constrained by extremely high transportation costs from shortages and high fuel prices. Additionally, truck owners and transporters are requesting high transportation fees due to the risk of insecurity. In June 2021, the average cost of transportation is almost 65 percent higher than in January 2021. The high cost of transportation and reduced access to Geneina market continues to interrupt market supplies from within and outside the state and is contributing to extremely high food and non-food item prices. Cereal prices in Geneina have continued to record the highest monthly price increases in Sudan since January 2021. In June, one kilogram of sorghum sold for 115 SDG/kg compared to 57.8 SDG/kg in January and 90 SDG/kg in April 2021 (Figure 7). This is almost double compared to January and 28 percent higher than April 2021. In June 2021, sorghum prices were 110 percent higher compared to respective prices last year and 550 percent above the five-year average.

Figure 7. Sorghum Feterita: Nominal retail prices (SDG/kg), El Geneina market, West Darfur state



Source: FEWS NET

Similarly, goat prices in Geneina market showed a sharp increase between January and June 2021. On average, a head of goat sold for 22,250 SDG/head in June compared to 20,000 in April and 6,500 SDG/head in January 2021. This is around a 240 percent increase since January 2021, three times above last year and more than seven times above the five-year average. The increase in livestock prices is related to the reduced supplies because of insecurity and the high cost of breeding, labor, vaccinations, fodder, and transportation.

Field information reports that poor households are increasing their dependence on remittances from family members both abroad and within Sudan for assistance. Currently, income from non-agricultural labor and remittances are the main income source for most poor households in the agropastoral and agricultural areas in Geneina locality. However, petty trade and labor opportunities remain below normal due to reduced population movements from the tribal clashes and the high cost of transportation. Following a 36 percent post-harvest seasonal drop between March and April, the labor-to-sorghum terms-of-trade in El Geneina market increased 34 percent between May and June, driven by a 70 percent increase in labor wages compared to a 30 percent increase in sorghum prices. In June, one day of labor wages can purchase 10.4 kg of sorghum, compared to 7.8 kg/daily wage in April. The June 2021 labor-to-sorghum terms-of-trade was 90 percent above respective terms-of-trade last year and 40 percent above the five-year average. Nevertheless, household's purchasing power remains relatively low due to high prices of non-cereal and non-food items, while insecurity associated with accessing the farms and transportation difficulties continue to reduce labor opportunities.

According to OCHA, water access is constrained as many water pumps were destroyed in the clashes. The rise in fuel prices has also impacted trucked water access. As of the end of May, a barrel and a half of water - roughly 240 liters - costs about 3,000 SDG (around 7.2 USD). Very often, the water sold in water carts is slightly saline. Humanitarian organizations are

providing an estimated 19,000 IDPs in Ag Geneina with about 10 liters of safe water per person per day. However, scaling up is reportedly challenging as IDPs in El Geneina are scattered across over 100 gathering sites making water trucking not feasible and costly.

According to WFP, food distribution for newly displaced households and protracted IDPs is ongoing. However, road closures and the conflict have disrupted humanitarian assistance to the area. Overall, poor households are expected to be facing Crisis (IPC Phase 3) outcomes as the loss of livelihood assets and access to typical income-earning opportunities is impacting household purchasing power, along with the poor macroeconomic situation.

Assumptions

- Sporadic attacks on villages will likely continue to escalate during the planting and rainy season, from June to early September 2021, particularly in West Darfur, with clashes likely reaching a plateau higher than that of 2020. The violence is likely to track with the seasonal movements of nomadic groups into southern grazing areas. At the start of the transhumance in September 2021, inter-communal clashes are expected to increase along migration routes. Looting incidents on farms and attacks by armed groups are likely to increase, creating additional tension between different tribes.
- Flooding and waterlogging are expected during the June-September rainy season, partially in low-lying areas and areas impacted by flooding in 2020. The flooding will negatively impact agricultural production.
- The macroeconomic difficulties will continue through the cultivation and harvest season, impacting agricultural and livestock production. The high cost of labor, fuel, vaccines, agricultural inputs, and transportation will likely impact labor opportunities for poor households and IDPs.
- In November 2021, household purchasing power is likely to improve with the start of the harvest, decreasing dependence on market purchases and labor opportunities improving access to income.
- Based on FEWS NET technical price projections, cereal prices will remain above last year's prices even during the harvest period. From October 2021 to January 2022, prices are expected to remain 30-50 percent above last year and more than twice the five year-average.

Most Likely Food Security Outcomes

From June to September 2021, the lean season is ongoing, and IDPs and conflict-affected poor households will likely face difficulties accessing food. Through the lean season, households will be entirely dependent on market purchases, gifts, social safety nets, and food assistance for food. However, gifts and humanitarian food assistance are likely to be the main food source for poor households. The expected rise in already high cereal and non-cereal food item prices will reduce poor households' access to adequate diversified food sources. A limited number of displaced people may try to return to their home villages for cultivation and land preparations, but with the risk of tribal clashes, income from agricultural labor opportunities during land preparation and planting, along with their own cultivation season, will likely be constrained. Conflicts and insecurity from the fear of attack are likely to influence market-related income sources. Support from remittances, social safety nets, and better-off households will likely increase, but money transfers through the market will be below average due to reduced population movements and COVID-19 related restrictions. As the lean season continues, poor households will likely begin applying crisis and emergency livelihoods coping strategies such as withdrawing children from school and selling their last female animal. Overall, most IDP households are likely to continue facing moderate food consumption gaps from June to September 2021 and be in Crisis (IPC Phase 3) despite the presence of humanitarian food assistance.

From October 2021 to January 2022, with the start of the harvest season, food availability will improve for some households, particularly those with better access to local production. During the harvest, food prices are likely to stabilize and possibly decrease compared to the peak lean season. As households replenish their food stocks and become less market-dependent on food purchases, household purchasing power is likely to improve. With improved access to the harvest, the proportion of households with borderline and poor food consumption, as measured by FCS, is expected to decrease compared to the lean season. Households, including a few IDPs, will have better access to wage labor in nearby farms, along with income from the sale of cash crops and small business/ petty trade. However, the risk of ethnic clashes will limit labor opportunities, market activity, and trade. As IDPs try to join the harvest season in their rural areas, the rate of displacement is likely to decline. However, the number of returnees among those displaced in Geneina will be low due to the unpredictable security situation. Overall, the harvest will improve household food access and income, slightly reducing the number of people facing Crisis (IPC

Phase 3) or worse food security outcomes. However, area-level Crisis (IPC Phase 3) outcomes are expected to continue through the scenario period driven by a below-average harvest impacted by the high tension and insecurity, the poor macroeconomic situation, and the anticipated above-average food prices. These factors will continue to impact household access to sufficient food and income and minimize food consumption gaps among IDPs and poor households.

Events that Might Change the Outlook

Possible events over the next eight months that could change the most-likely scenario.

Area	Event	Impact on food security outcomes
Geneina locality	A peace agreement; and increase in government protection forces.	Peace talks between different tribes in Darfur and government efforts to protect farmers during the cultivation and harvest will allow more opportunities for displaced farmers to return to their lands and join the agricultural season, increasing poor household access to labor opportunities during the harvest season. The increase in local production and livelihood activities will drive Stressed (IPC Phase 2) outcomes from October 2020-January 2022.
	Flooding	Flash floods and waterlogging will destroy cropped lands and cut off main roads. This will further reduce market supplies, expedite price increases, reduce access to agricultural labor, and reduce yields. A poor harvest will result in an earlier than expected increase in food prices and increase household food gaps. The loss of a harvest or significant yield reductions will increase the number of poor households and IDPs facing Crisis (IPC Phase 3) or worse outcomes through the scenario period.

Dourdieb, Agig, Hala'ib, and Jubayt-Elma'aadin localities in Red Sea state (Figure 8)

Current Situation

The area of concern, Agig, Dourdieb, Hala'ib, and Jubayt-Elma'aadin localities, are located in northern and southern Red Sea state. The dominant livelihood zones are the Eastern Khors Agropastoral livelihood zone, where sorghum and minor vegetables are grown for home consumption and parts of the Eastern Pastoral livelihood zone. Livestock, primarily goats, provide milk and are sold for cereal purchases and other essentials. Poor households typically own 3-4 goats, 0-2 sheep, and 0-1 camels. Casual labor, petty trade, and traditional gold mining are important income sources for poor households. Considered chronically poor and food insecure, more than 50 percent of the population are classified as poor households. In remote areas, the macroeconomic crisis is resulting in atypically high transportation and food costs, limiting household access to markets. Jubayt elma'aadin and Hala'ib, located in northern Red Sea, are arid, typically receiving 20-30mm of cumulative rainfall a year.

Figure 8. Area of concern reference map, Dourdieb, Agig, Hala'ib, and Jubayt Elma'aadin localities in Red Sea State.



Source: FEWS NET

The main sources of income for these localities are livestock, non-agricultural wage labor, firewood/charcoal sales, and in Jubayt elma'aadin locality, mining. Agig, Jubayt elma'aadin, and Hala'ib are located in the Coastal Fishing zone of Red Sea State (SD06), where fish sales from April to June can provide important income for the lean season. However, the transportation and marketing of fish to the main consumption markets of Khartoum, Port Sudan, and Kassala have been negatively impacted by the high cost of transportation and fuel shortages. Households are likely to rely heavily on income from wild foods and the sale of charcoal and firewood.

According to the Comprehensive Food Security Assessment (CFSA) carried out by WFP in December 2020, during the harvest period, over 90 percent of the households were spending more than 75 percent of their income on food compared to 65 percent normally.). In Agig and Dordeib, trends in coping as measured by the reduced coping strategies (rCSI) indicate that households typically reduce the number and size of meals, purchase less expensive or preferred food, sell more animals than usual, or engage in stressed animal sales indicative Stressed (IPC Phase 2) and Crisis (IPC Phase 3). However, the continued macroeconomic crisis, currency depreciation, and high inflation is driving significant increases in food and non-food item prices. This has further weakened household purchasing power and reduced household food access from markets during the June to September lean season.

According to the 2020/2021 Crop and Food Supply Assessment Mission (CFSAM), the harvested area for sorghum in Red Sea irrigated and traditional rainfed areas was 29 percent lower than 2019/2020 and 39 percent lower than the five-year average. Similarly, the 2020/2021 sorghum harvest was 41 percent lower than 2019/2020 and 23 percent lower than the five-year average. The 2020/2021 agricultural season was impacted by the high cost of production and labor, pest infestations, desert locust infestations in coastal areas, and livestock damage. Livestock body conditions and productivity were also affected by water shortages, poor pasture conditions in the summer grazing area, and high fodder and drug prices. Chronically poor harvests typically result in low household food stocks resulting in many households being market-dependent for food purchases throughout the year. Information collected by WFP's CFSA assessment during the harvest period November/December 2020 indicated that more than 20 percent of households have no sorghum stock and were dependent on market purchases. Household food access is expected to have further deteriorated by the start of the lean season as the SDG has continued to depreciate along with increasing food prices.

Currently, most households are atypically dependent on income-earning activities such as firewood and charcoal sale, agricultural and non-agricultural labor, gold mining, and the sale of livestock as household food stocks are exhausted at the start of the lean season. However, high food and non-food prices driven by the national macroeconomic crisis are significantly impacting household purchasing power. As of June 2021, available field information indicates that an increased number of households are engaged in crisis and emergency livelihood coping strategies such as begging, stressed animal sales, and the sale of the last female animal to access income for market food purchases.

Stable food prices have continued to unseasonably increase during the post-harvest period and through the beginning of the lean season. In Port Sudan, the main market in Red Sea state, retail sorghum prices have increased 10 percent between May and June, with sorghum selling for 100 SDG/kg in June compared to 90 SDG/kg in May and 88 SDG/kg in April 2021. The increase in sorghum prices is mainly attributed to reduced market supplies, the high cost of transportation from main producing areas, and the continued devaluation of the SDG. In June 2021, sorghum prices are on average 77 percent higher than respective prices in 2020 and four times above the five-year average. In the rural markets of the areas of concern, market prices are reported to be 10-30 percent above the Port Sudan reference market due to the high cost of transportation and limited market supplies. The high prices of cereals are driven by the below-average 2020/21 harvest and the impact of the national macroeconomic crisis. Livestock prices have followed a similar trend driven by high fodder and drug prices and transportation costs. In the Port Sudan market, sheep prices in June are almost double compared to January and 50 percent higher than in April. Sheep prices remained 185 percent above last year and more than five times above the five-year average.

Supported by the high sheep prices, the sheep-to-sorghum terms-of-trade has increased by 30 percent between April and June, with a sheep selling for 400 kg of sorghum in June compared to 300 kg/head in April. This is largely driven by the relative increase in sheep prices compared to sorghum, as sheep prices increased by 30 percent between April and May compared to a 2 percent increase in sorghum prices. However, the June livestock-to-sorghum terms-of-trade continued to be 60 percent more than respective prices last year and 20 percent higher than the five-year average. However, the improvement in sheep prices is expected to benefit better-off households as poor households have limited livestock holdings, limiting access to better income and improved purchasing power.

To cope with the increasing food and non-food prices, poor households are migrating to Port Sudan, Sawaken, and other main towns for daily labor opportunities, gold mining, selling livestock and relying on support from better-off relatives, neighbors, and friends. Due to limited livestock holdings and the high food prices, poor households are likely facing moderate food consumption gaps and are facing Crisis (IPC Phase 3) food security outcomes.

Assumptions

- Cereal and non-cereal commodity prices, particularly between June and September 2021, are expected to remain over 200 percent compared to last year and over four times above the five-year average. Cereal prices are likely to decrease

during the October-January harvest season seasonally; however, prices are expected to remain high compared to last year and the five-year average driven by the negative impact of the macroeconomic crisis.

- Intensified labor migration to the gold mines is likely to lower labor for agriculture, resulting in increased labor shortages and high labor prices for farmers. This may result in labor shortages in Gadarif and Kassala, potentially delaying cultivation in July and contributing to potential low yields and a delayed harvest.
- Above-average production due to projected above rain likely to contribute to stable food availability in main supply markets such as Gadaref and Kassala and improve supply to Port Sudan market during November 2021 to January 2022. However, extensive rains may lead to flooding, crop damage, and pest infestations that impact the harvest and reduce cereal supply to the Port Sudan market. However, above-average rainfall will improve pastoralist communities' rangeland resources, improving livestock body conditions and milk production.

Most Likely Food Security Outcomes

From June to September 2021, poor households are likely to continue to be impacted by limited purchasing power, high food prices, and limited access to in-kind payments. Through the lean season, household and market food stocks are expected to be due to limited market supply and high transportation costs. Poor households are expected to depend on the consumption of wild foods and less preferred foods such as Feterita Sorghum. High cereal prices and low income will continue limiting poor household purchasing power. Poor households are likely to heavily depend on income from agricultural labor, the collection and sale of forest products, gold mining, domestic labor, and livestock herding for better-off households, and migrate to Port Sudan or other towns for better labor or trade opportunities. Households are likely to adopt severe or emergency coping strategies, such as migrating to urban areas or gold mining areas for additional employment opportunities earlier than usual and intensify the collection and sale of charcoal, firewood, and shells to mitigate food shortages. However, poor households are not expected to meet their minimum food consumption needs and will continue facing significant food consumption deficits. Poor households will rely on the support from the *Zakat* chamber and better-off family members, friends, and neighbors to reduce food consumption gaps. Overall, poor household purchasing power will limit market food purchases for poor households, driving Crisis (IPC Phase 3) outcomes.

From October to January, the start of the harvest will likely increase poor household food access from own production, in-kind payments from agricultural labor, and in-kind *Zakat* of the harvest. Additionally, many poor households will increase migration to production areas for labor opportunities during the harvest period at greater than typical levels. Similarly, some poor household members will also migrate to urban areas such as Port Sudan for off-farm work opportunities. However, poor households will continue to rely on collecting and selling wild food, charcoal/firewood, and available social safety nets for income and food. Household dependency on market food purchases and wild foods will decline gradually during the December 2021 and January 2022 harvest period. Nevertheless, poor households will continue facing difficulties in meeting their household's food requirements. Household food diversity is likely to be low due to typically marginal production, reduced rural market supplies due to high transportation costs, and significantly above-average cereal and non-cereal food item prices. The high food and non-food prices will limit household purchasing power and improvements in household food access. Most poor households will continue facing food consumption deficits and income below their livelihood protection thresholds driving Crisis (IPC Phase 3) outcomes through January 2022.

Events that Might Change the Outlook

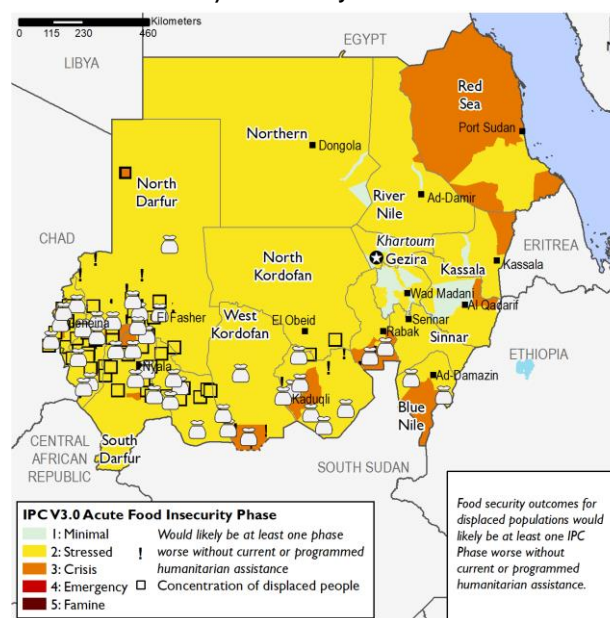
Possible events over the next eight months that could change the most-likely scenario.

Area	Event	Impact on food security outcomes
Dordieb, Agig, Hala'ib, and Jubayt Elma'adin localities in Red Sea State	Excessive flooding	Excessive flooding in the <i>khors</i> (seasonal rivers) may destroy crops and increase human and livestock waterborne disease incidence rate, impacting the harvest and human and livestock health and production. The loss of crops and livestock will increase the proportion of households facing Crisis (IPC Phase 3) or worse outcomes through the scenario period.

MOST LIKELY FOOD SECURITY OUTCOMES AND AREAS RECEIVING SIGNIFICANT LEVELS OF HUMANITARIAN ASSISTANCE*

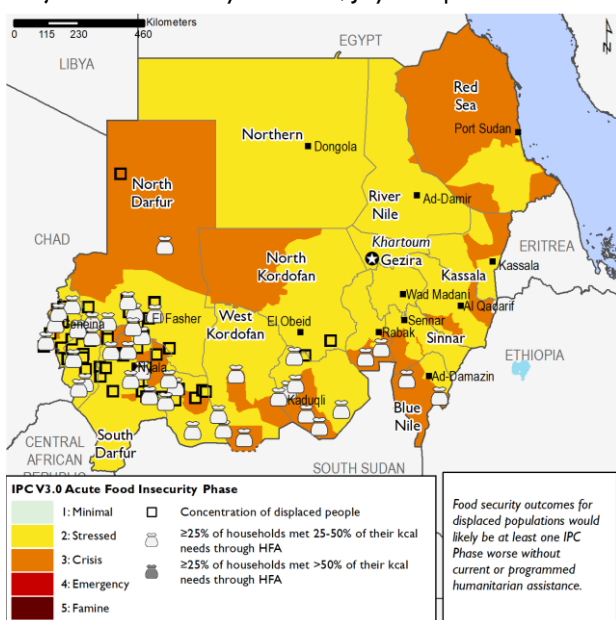
Each of these maps adheres to IPC v3.0 humanitarian assistance mapping protocols and flags where significant levels of humanitarian assistance are being/are expected to be provided. ☹ indicates that at least 25 percent of households receive on average 25–50 percent of caloric needs from humanitarian food assistance (HFA). ☹ indicates that at least 25 percent of households receive on average over 50 percent of caloric needs through HFA. This mapping protocol differs from the (!) protocol used in the maps at the top of the report. The use of (!) indicates areas that would likely be at least one phase worse in the absence of current or programmed humanitarian assistance.

Current food security outcomes, June 2021



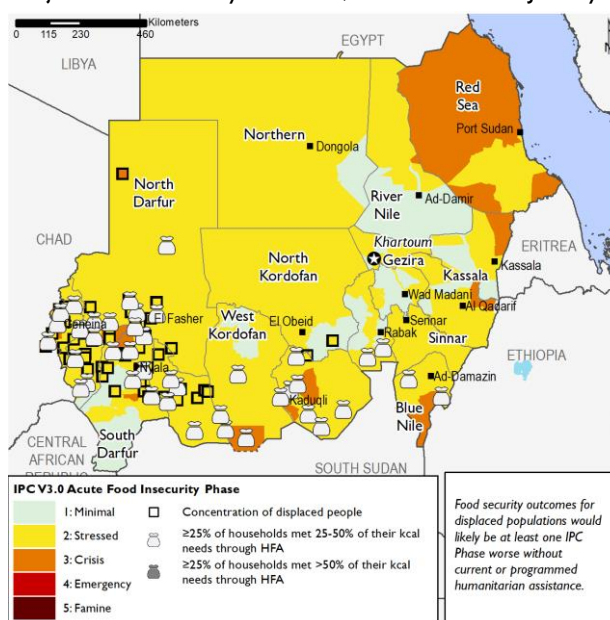
Source: FEWS NET

Projected food security outcomes, July to September 2021



Source: FEWS NET

Projected food security outcomes, October 2021 to January 2022



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

ABOUT SCENARIO DEVELOPMENT

To project food security outcomes, FEWS NET develops a set of assumptions about likely events, their effects, and the probable responses of various actors. FEWS NET analyzes these assumptions in the context of current conditions and local livelihoods to arrive at a most likely scenario for the coming eight months. [Learn more here.](#)